

Subject Code	AF5642
Subject Title	International Economics
Credit Value	3
Level	5
Normal Duration	One Semester
Pre-requisite / Co-requisite/ Exclusion	Microeconomics <i>OR</i> Macroeconomics
Objectives	The course contributes to Program Learning Outcome 1 by equipping students with advanced theory of international economics, real-world applications and a primer into frontier research in international economics. It explores the economic principles that govern international economic interactions, the determinants of trade patterns, the impact of trade on economic welfare, trade barriers, boundaries of multinational firms, and the application of data-science in international trade and FDI.
Intended Learning Outcomes	Upon completion of the subject, students will be able to: (1) Grasp and apply the trade theory to analyze the changing pattern of global trade and FDI; (2) Analyze the impacts of trade barriers; (3) Understand the application of data-science in international trade and FDI; (4) be familiarized with the frontier research in international economics.
Subject Synopsis/ Indicative Syllabus	1. Introduction • Technical Microeconomic Concepts and Gains from Trade Long-run Economic Growth 2. Firms and the Decision to Export: Causes and Effects • Basic Differences in Technology and Productivity: Ricardian Model • Short-Run Differences in Factor Endowments: Specific-Factors Model • Difference in Factor Endowments: Heckscher-Ohlin Model • Increasing Returns, Monopolistic Competition and Trade • Heterogeneous Firm Behavior • Geography and Gravity Model 3. Trade Policy and the Trading System • Tariffs • Non-Tariff Barriers • Economic Arguments for Government Intervention

	4. Multinational Firms and Foreign Direct Investment • FDI Theories focusing on entry mode choice • The Boundaries of the Multinational Firm • Sorting in Trade and FDI 5. The application of data-science in international trade and FDI																																																																						
Teaching/Learning Methodology	This subject will be taught in both lecture and seminar formats. Individual performance is assessed by a student’s specific role in her/his study group, including presentation, comments, Q&A, and written report. Students are expected to self-study outside of class time by completing assigned readings and solving practice problems.																																																																						
Assessment Methods in Alignment with Intended Learning Outcomes	<table><tr><th rowspan="2">Specific assessment methods/tasks</th><th rowspan="2">% weighting</th><th colspan="6">Intended subject learning outcomes to be assessed (Please tick as appropriate)</th></tr><tr><th>1</th><th>2</th><th>3</th><th>4</th><th></th><th></th></tr><tr><td>Continuous Assessment</td><td>50%</td><td></td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>1.Class Participation</td><td>15%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>2.Seminar Presentation and Report</td><td>35%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>Final Examination</td><td>50%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>Total</td><td>100%</td><td></td><td></td><td></td><td></td><td></td><td></td></tr><tr><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td></tr><tr><td></td><td></td><td colspan="6"></td></tr></table> Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes: Class Participation – Students should read relevant lecture materials before the class and participate actively in class discussion, which helps develop the skills and acquire the knowledge and tools for business decision analysis. Presentation and Written Report – Through discussion, students working on an assigned problem by applying the knowledge and tools learned in the lecture and associated readings, presenting it to the class and writing it up as a report. This process helps develop students’ ability to analyze key issues related to learning outcomes. Final Exam – Through the exam students are accessed in terms of the overall effectiveness of their command of the subject learning outcomes.	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)						1	2	3	4			Continuous Assessment	50%							1.Class Participation	15%	✓	✓	✓	✓			2.Seminar Presentation and Report	35%	✓	✓	✓	✓			Final Examination	50%	✓	✓	✓	✓			Total	100%																						
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Student Study Effort Expected	Class contact:	
	▪ Lectures	39 Hrs.
	Other student study effort:	
	▪ Students are expected to spend around 6 more hours per week or reading subject materials/textbook, doing discussion questions and assignments.	78 Hrs.
	Total student study effort	117 Hrs.
Reading List and References	Textbook: Krugman, Paul, Maurice Obstfeld and Marc Melitz, <i>International Economics: Theory and Policy</i>, Pearson, 12th Edition, 2022. Academic references: Feenstra, Robert C., <i>Advanced International Trade: Theory and Evidence</i>, Princeton, N.J. Princeton University Press, 2nd Edition, 2015. Antràs, Pol and Elhanan Helpman, “Global Sourcing,” <i>Journal of Political Economy</i> 112, 552–580, 2004. Bernard, A.B. and J.B. Jensen, “Exceptional Exporter Performance: Cause, Effect, or Both?” <i>Journal of International Economics</i>, 47(1), 1-25, 1999. Helpman, Elhanan, Marc J. Melitz, and Stephen R. Yeaple, “Export versus FDI with Heterogeneous Firms,” <i>American Economic Review</i> 94 (1), 300–316, 2004. Helpman, Elhanan, “Trade, FDI and the Organization of Firms,” <i>Journal of Economic Literature</i> 44, 589–630, 2006. Levchenko, “Institutional Quality and International Trade,” <i>The Review of Economic Studies</i> 74(3), 791-819, 2007. Melitz, Marc J., “The Impact of Trade on Intra-Industry Reallocations and Aggregate Industry Productivity,” <i>Econometrica</i> 71(6), 1695-1725, 2003.	